NASDAQ: META

Meta Platforms

A great business with an expensive bet: the AI build-out is running ahead of the payoff.

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RATING	**SELL**
TARGET PRICE	**$530**
PRICE	**$738.79**
DOWNSIDE	**–28%**
MARKET CAP	**$1.90T**
P/E (TTM)	**27.8x**

OUR CALL

SELL

12-month target price **$530**, which is **28% below** today's $738.79.

Snapshot	
Exchange · ticker	NASDAQ · META
Sector / industry	Comm. Services / Interactive Media
Market cap	$1.90 trillion
P/E: trailing / forward	27.8x / 23.0x
Diluted shares	2,574 million

EXHIBIT 1

Target price by scenario vs. current price ($/share)



Even our most optimistic case is ~$200 below the market price.

Source: team valuation model; StockAnalysis.com

Three reasons we would sell Meta today

1

Great business, priced for success

+27%

META STOCK, SEPTEMBER 2026

41% operating margins on 3.58B daily users — but a September rally on the free Muse AI agent leaves the price assuming AI pays off fast.

2

AI spending outruns cash

$137B

2026E CAPEX, ≈2× 2025

Data-center spending pushes free cash flow below zero in 2026 in our model.

3

Risk is rising

1.50 → 1.68

EQUITY MULTIPLIER, FY23–FY25

More debt, 5.25% Treasury yields and youth-safety lawsuits raise the risk profile.

The business is excellent. The price assumes the AI bet pays off fast — we are not willing to pay for that.

An advertising company with a hardware bet on the side

97.6%

of Meta's $201.0B revenue in 2025 came from advertising.

EXHIBIT 2

FY2025 revenue mix



- Advertising — $196.2B
- Other Family of Apps — $2.6B
- Reality Labs — $2.2B

Source: Meta Q4 2025 earnings release

FAMILY OF APPS

Facebook, Instagram, WhatsApp, Messenger, Threads and Meta AI — free to users, paid for by advertisers.
3.58B daily active people (Dec 2025)

REALITY LABS

Quest VR headsets and Ray-Ban Meta AI glasses: small sales, large losses.
–$19.2B operating loss in 2025

Users and ad prices drive sales; AI and Reality Labs drive costs

REVENUE = USERS × AD IMPRESSIONS (+12%) × PRICE PER AD (+9%)

EXHIBIT 3

Daily active people, billions

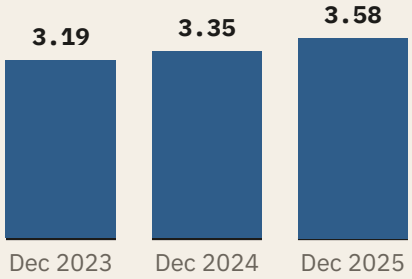
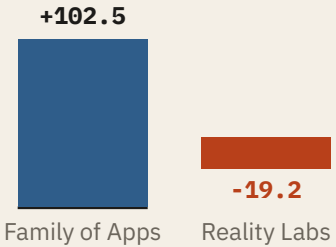


EXHIBIT 4

2025 operating income by segment, $B



Biggest cost: R&D, $57.4B.

Source: Meta Q4 2025 earnings release (2025 growth in impressions and price per ad)

01

PART 01

Industry & Competition

Who Meta fights for ad dollars, and why it usually wins.

Digital advertising is a mature-growth industry ruled by a few giants

EXHIBIT 5

Porter's Five Forces — intensity (1–5, team assessment)

Rivalry	■■■■■	Google, TikTok, Amazon fight for ad budgets
New entrants	■■□□□	Network effects and AI costs block newcomers
Substitutes	■■■□□	Streaming, games and AI chatbots compete for time
Supplier power	■■■□□	Few AI chip makers; data-center power
Buyer power	■□□□□	Millions of small advertisers

EXHIBIT 6

Industry life cycle

01	02	03	04
Introduction	Growth	**Mature growth**	Decline

Ad spending keeps moving online; growth now comes from AI targeting, short video and messaging.

Capacity now means computing power — the race is who builds data centers fastest.

Meta grows faster and earns more than Alphabet – but only sells ads

EXHIBIT 7

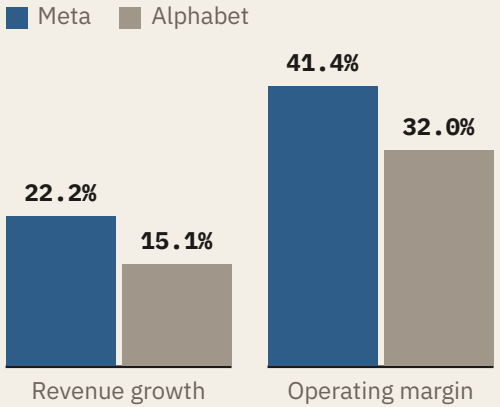
Key competitors for ad dollars

Alphabet	Search, YouTube · main competitor
Amazon	Retail & Prime Video ads
TikTok	Short-video ads (ByteDance)
Microsoft	Bing, LinkedIn
Snap · Pinterest · Reddit	Smaller social platforms

Source: Meta and Alphabet FY2025 annual reports

EXHIBIT 8

FY2025: Meta vs. Alphabet



02

PART 02

Financial Analysis

Best-in-class margins, but cash flow is being spent on AI.

Margins are best-in-class; ROE slipped in 2025

EXHIBIT 9

Operating margin, Meta vs. Alphabet

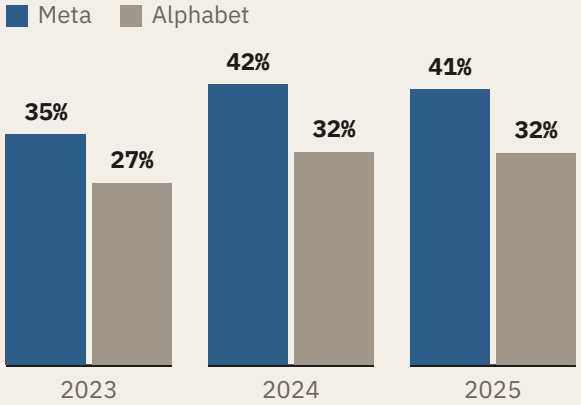
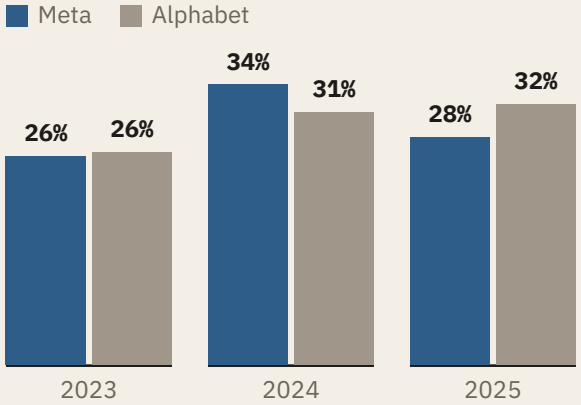


EXHIBIT 10

Return on equity (net income ÷ equity)



Source: company 10-Ks; team analysis. Meta 2025 net income includes a one-time tax charge; Alphabet 2025 includes investment gains.

Leverage jumped in 2025 as Meta borrowed to build AI capacity

EXHIBIT 11

Step 4D — leverage & efficiency ratios

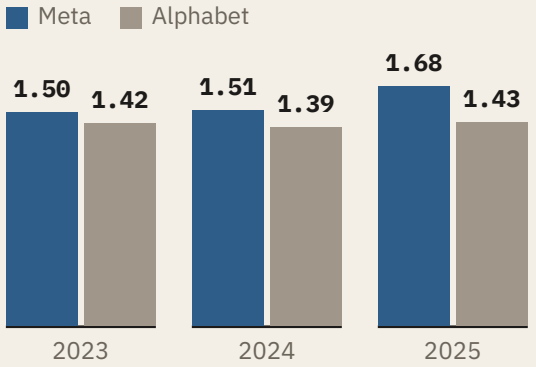
Ratio	FY2023	FY2024	FY2025
Meta — equity multiplier	1.50x	1.51x	1.68x
Meta — debt-to-equity	0.50x	0.51x	0.68x
Alphabet — equity multiplier	1.42x	1.39x	1.43x
Alphabet — debt-to-equity	0.42x	0.39x	0.43x
Meta — asset turnover	0.59x	0.60x	0.55x
Alphabet — asset turnover	0.76x	0.78x	0.68x

Equity multiplier = assets ÷ equity · D/E = total liabilities ÷ equity

Source: company 10-Ks; team analysis

EXHIBIT 12

Equity multiplier

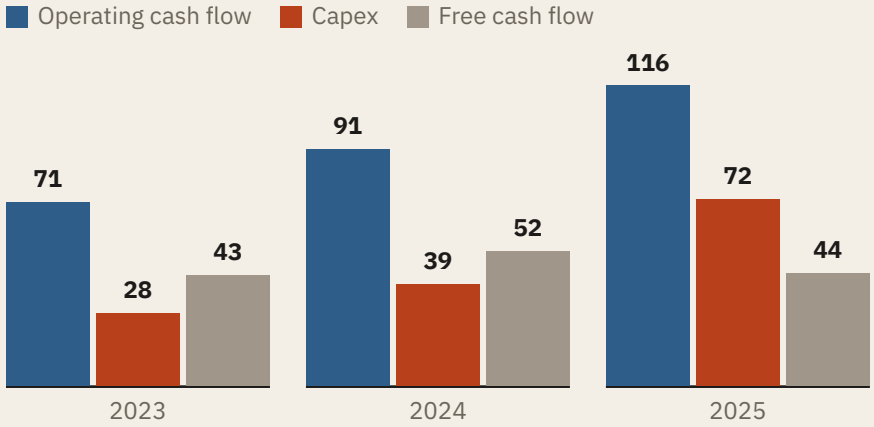


Driver: $30B of new bonds in Nov 2025. Risk is rising but still low — equity funds ~59% of assets.

Record cash flow — and capex is eating it

EXHIBIT 13

Cash flow, $B



Source: Meta earnings releases; capex includes finance-lease principal

2026 CAPEX GUIDANCE

$130–145B

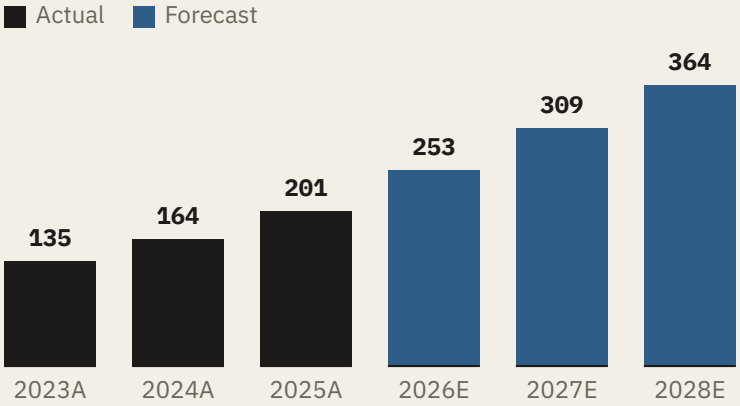
vs. $72B in 2025 and $39B in 2024.

Free cash flow fell in 2025 even though operating cash flow hit a record.

Revenue keeps growing; free cash flow recovers only by 2028

EXHIBIT 14

Revenue, $B (actual vs. forecast)

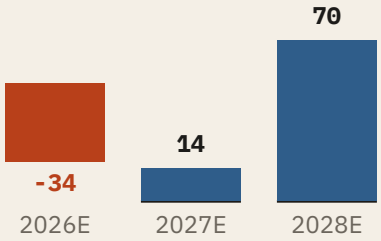


Growth 26% → 22% → 18% · EBIT margin 41% (2025) → 34% (2026E) → 37% (2028E)

Source: team forecast

EXHIBIT 15

Free cash flow to firm, $B



03

PART 03

Valuation

Two methods, one gap: the DCF says $270, the market says $739.

Our two methods disagree, so we blend them 50/50

EXHIBIT 16

Football field — value per share

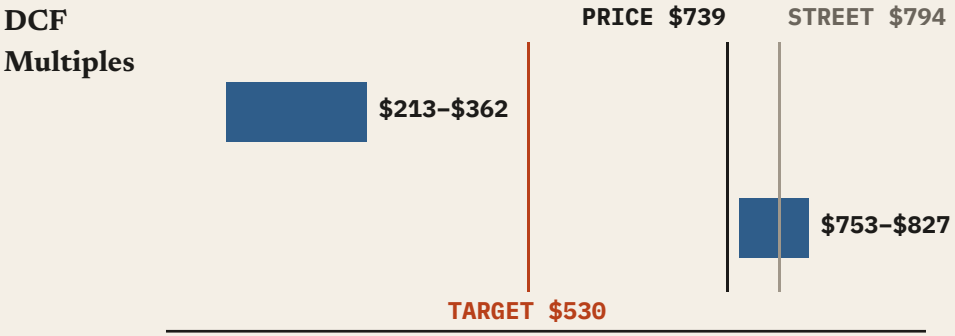


EXHIBIT 17

WACC build

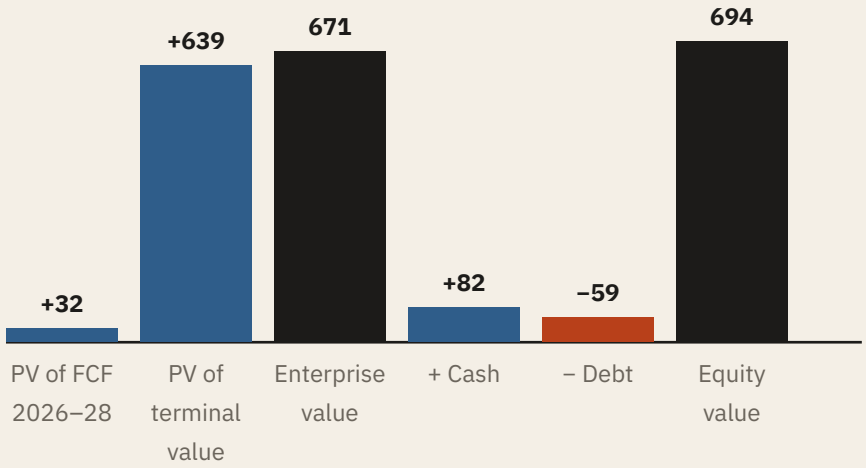
Risk-free rate (10-yr)	**5.25%**
Beta	**1.24**
Market risk premium	**5.0%**
Cost of equity	**11.45%**
After-tax cost of debt	**4.90%**
Equity / debt	**97% / 3%**
WACC	**11.25%**

Target **$530** = 50% × DCF **$270** + 50% × multiples **$790**

The DCF says Meta is worth about $270 per share

EXHIBIT 18

From cash flows to equity value, $B



$693.7B ÷ 2,574M shares = **$269.50** per share

EXHIBIT 19

Sensitivity — value per share

WACC \ g	2.0%	2.5%	3.0%	3.5%	4.0%
10.25%	$274	$292	$312	$335	$362
10.75%	$256	$272	$289	$309	$332
11.25%	$241	$254	$270	$287	$306
11.75%	$226	$238	$252	$267	$284
12.25%	$213	$224	$236	$250	$265

Even the best cell ($362) is far below the $739 price.

Source: team DCF. With 3 forecast years, the terminal value starts while growth is still ~18%, so this DCF is conservative.

Against its peers, Meta looks cheap — about $790 per share

EXHIBIT 20

Peer multiples, Sep 30, 2026

Company	Fwd P/E	EV/EBITDA	P/S
Alphabet	25.4x	24.1x	9.7x
Amazon	26.3x	16.8x	3.5x
Microsoft	25.8x	19.7x	11.4x
Peer median	25.8x	19.7x	9.7x
Meta today	23.0x	18.4x	9.5x

Caveat: every peer is in the same AI spending race, so multiples can't show whether the whole group is overpriced.

EXHIBIT 21

Implied Meta price at peer medians



Source: StockAnalysis.com; team analysis (forward EPS $32.09, FY2025 EBITDA $101.9B, FY2025 revenue $201.0B)

04

PART 04

ESG & Risks

Strong climate goals, weak youth-safety record, and what could prove us wrong.

Strong on climate goals; weak on youth safety and shareholder control

E Environmental

3.5/5

- Net-zero operations and 100% renewable power since 2020
- Targets net-zero value chain and water positive in 2030
- Risk: AI data centers raise energy use

S Social

2.0/5

- 3.58B daily users
- Mar 2026: juries found Meta liable in youth-harm cases ($375M New Mexico; $6M Los Angeles)
- More trials ahead

G Governance

2.0/5

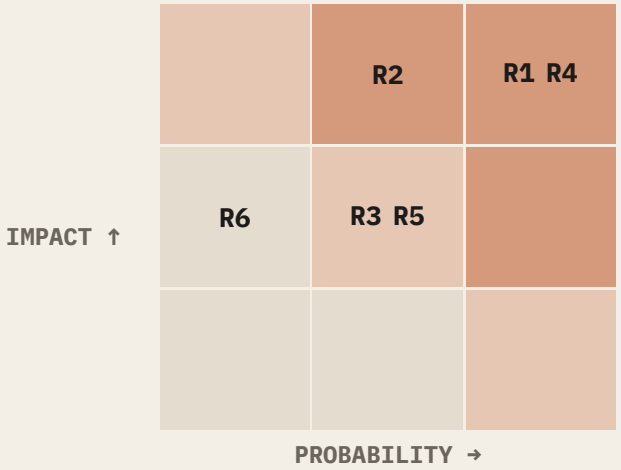
- Mark Zuckerberg is Chair and CEO
- Dual-class shares give him majority voting control
- Returns cash through buybacks and dividends

Source: Meta 2025 Sustainability Report; Meta 2026 proxy and 10-Q; NPR (Mar 25, 2026). Scores are our team's own assessment.

What could prove our SELL wrong — and what supports it

EXHIBIT 22

Risk matrix



COULD PROVE US WRONG (UPSIDE RISKS)		
R1	**AI pays off faster (Muse agent, AI ads)**	Stock beats $530
R2	**Capex cut or interest rates fall**	Lifts DCF value
SUPPORT OUR SELL (DOWNSIDE RISKS)		
R3	**Ad slowdown / recession**	Ads ≈ 98% of revenue
R4	**Youth-safety lawsuits & regulation**	Fines, product changes
R5	**EU rules (DMA), privacy**	Limits ad targeting
R6	**Reality Labs losses**	~$19B a year

CONCLUSION

SELL. Target $530.

28% below the $738.79 share price.

01 A great ad business, but the price already assumes the AI bet works.

02 Capex of $130–145B in 2026 pushes free cash flow below zero in our model.

03 Higher leverage, 5.25% rates and youth-safety lawsuits add risk.

What would change our mind: clear AI revenue, a visible capex peak, or much lower interest rates.

Sources

[1] SEC FILINGS
Meta Platforms Form 10-K, FY2025 (FY2023–24 comparatives)

[2] SEC FILINGS
Meta earnings releases (8-K Ex. 99.1): Q4 2023, Q4 2024, Q4 2025, Q2 2026

[3] SEC FILINGS
Meta 2026 Proxy Statement (DEF 14A); Form 10-Q, Q2 2026

[4] SEC FILINGS
Alphabet Forms 10-K and earnings releases, FY2023–FY2025

[5] MARKET DATA
StockAnalysis.com (S&P Global data): META price, beta, forward P/E, consensus forecasts and price target; peer multiples — SEP 10–30, 2026

[6] MARKET DATA
U.S. Treasury / FRED (DGS10): 10-year yield 5.25%, SEP 10, 2026

[7] ESG
Meta 2025 Sustainability Report, sustainability.atmeta.com

[8] NEWS
NPR, “Jury finds Meta and Google negligent in social media harms trial,” Mar 25, 2026

[9] NEWS
CNBC, “Meta’s Reality Labs posts $6.02 billion loss in fourth quarter,” Jan 28, 2026

[10] NEWS
CNBC, “Meta stock enjoys best month since 2022 on AI momentum,” Sep 30, 2026

[11] TEAM
Forecasts, DCF, WACC, multiples and ESG scores: team valuation model

All company figures are from SEC filings. Market data as of SEP 10–30, 2026. Forecasts and ESG scores are our team's own analysis.